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What Is Consortium Funding ?

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A Comprehensive Technical Reference & Training Manual on Wholesale Lending Architectures, Regulatory Frameworks, Security Structuring, and Operational Mechanics in Indian Corporate Banking

MANUAL PURPOSE & LEARNING OBJECTIVES

This White Paper Document is meticulously crafted as an exhaustive end-to-end guidebook for finance professionals, corporate bankers, credit analysts, and finance rookies. It provides a complete 360-degree understanding of Consortium Funding in India—covering product fundamentals, historical regulatory evolution (Setty & Mahadevan Committees), inter-creditor mechanisms, minimum participation thresholds, IBA standardized documentation, Drawing Power (DP) formulas, M&A acquisition finance rules, and default proceedings under the Insolvency and Bankruptcy Code (IBC) 2016. Upon completing this document, any beginner or analyst will possess full mastery over consortium credit architectures and be fully equipped to pass professional credit evaluations and financial assessment tests.

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Chapter 1: Product Overview & Core Fundamentals

Definition & Core Concept: Consortium Funding (also referred to as Consortium Advances) is a specialized wholesale banking mechanism in India wherein two or more commercial banks or financial institutions jointly pool their financial resources to extend credit facilities—primarily fund-based working capital limits and term loans—to a single corporate borrower under a unified legal and operational architecture.

In modern commercial banking, large-scale industrial operations, infrastructure mega-projects, and expanding corporate conglomerates frequently require credit facilities that exceed the risk tolerance, liquidity capacity, or legal Single Borrower Exposure Limits (LEF) of any individual bank. Consortium funding solves this structural liquidity challenge by enabling banks to consolidate their credit appraisal expertise, share borrower risk proportionally, and aggregate loan quata under a standardized, coordinated lending structure.

1.1 Historical Evolution in Indian Banking

The conceptual framework of consortium lending in India has evolved through distinct regulatory phases, shaped by Reserve Bank of India (RBI) committees designed to ensure credit discipline while facilitating smooth credit flow to the productive sectors of the economy:

- **The Lakshminarayanan Study Group (1973-1974):** In December 1973, the RBI constituted a study group chaired by Shri G. Lakshminarayanan to formulate the first structured guidelines for joint bank financing. The committee's report (accepted in July 1974) formally recognized the necessity of institutional cooperation in meeting large working capital needs.
- **1987 RBI Comprehensive Guidelines:** Comprehensive operational guidelines were issued by the RBI in June 1987, formalizing inter-bank coordination, information sharing, and lead bank responsibilities.
- **The Mahadevan Committee Report (1988) & SWCL:** In April 1988, the Mahadevan Committee submitted recommendations aimed at minimizing administrative delays for corporate borrowers. The committee introduced the landmark 'Single Window Concept for Lending' (SWCL), authorizing the Lead Bank to execute documentation and handle initial disbursements on behalf of all participating members.
- **The J.V. Setty Committee (1993) & Mandatory Thresholds:** In January 1993, the RBI established a committee under Shri J.V. Setty (Chairman & Managing Director of Canara Bank) to review consortium operations. Based on the Setty Committee report, the RBI mandated that any borrower enjoying aggregate fund-based working capital limits of INR 50 Crore or more from multiple banks must mandatorily be brought under a formal Consortium Arrangement, with the bank holding the largest share acting as Consortium Leader.
- **The 1996 Deregulation Paradigm Shift:** In October 1996, as part of financial sector liberalisation and credit delivery reforms, the RBI withdrew the mandatory requirement of forming a consortium for credit limits of INR 50 Crore and above. The RBI granted banks complete operational freedom to extend credit via sole banking, multiple banking, voluntary consortiums, or loan syndication.

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1.2 Core Objectives & Strategic Rationale

Consortium Advances serve vital operational and prudential functions for both financial institutions and corporate borrowers:

- **Risk Diversification & Mitigation:** By spreading large exposures across multiple balance sheets, no single institution bears the catastrophic loss of a corporate default.
- **Regulatory Exposure Limit Compliance:** RBI's Large Exposure Framework (LEF) restricts a bank's exposure to a single counterparty to 20% of its Tier 1 Capital. Consortiums allow borrowers to raise limits of INR 500 Cr to INR 5,000 Cr+ without breaching individual bank capital limits.
- **Consolidated Appraisal & Oversight:** Members pool credit intelligence, financial monitoring, and quarterly operational reviews, drastically reducing information asymmetry and mitigating fraud risks.
- **Single-Window Convenience for Borrowers:** The borrower deals primarily with the Lead Bank for credit appraisal, documentation, and Drawing Power (DP) calculations, avoiding the friction of negotiating with 5-10 separate lenders.

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Chapter 2: Structural Architectures: Consortium vs. Multiple Banking vs. Syndication

A foundational requirement for any finance professional is to distinguish clearly between the three primary multi-lender credit structures present in the Indian BFSI market: Consortium Funding, Multiple Banking Arrangements (MBA), and Loan Syndication. While all three involve multiple financial institutions funding a single borrower, their legal frameworks, documentation, security structures, and operational mechanics differ fundamentally.

Comparative Overview: Table 2.1: Multi-Dimensional Comparison Matrix of Indian Wholesale Credit Architectures

Dimension / Feature	Consortium Funding	Multiple Banking (MBA)	Loan Syndication
Legal Agreement	Single unified Working Capital Consortium Agreement & Inter-Se Agreement	Multiple separate, bilateral loan agreements with each bank independently	Single unified Syndicated Loan Agreement & Security Trust Deed
Lead Role / Leader	Mandatory Lead Bank (usually bank with largest credit share)	No formal lead bank; independent bank-borrower relationships	Mandated Lead Arranger (MLA) structures & places debt
Appraisal Process	Joint credit appraisal conducted by Lead Bank on behalf of all members	Independent, separate appraisal conducted by each individual bank	Centralized appraisal by Lead Arranger; distributed via Information Memo
Security Charge	Common Pari Passu (equal ranking) charge over pooled assets	Separate, distinct charges carved out over specific designated assets	Shared security held on trust by a designated Security Trustee
Drawing Power (DP)	Single consolidated DP calculated monthly on pooled current assets	Separate DP calculated by each individual bank on its charged stock	Facility-level limits monitored centrally by Facility Agent
Decision Making & Default	Governed by Inter-Se voting rules; joint CoC enforcement under IBC	Independent recovery, recall, or litigation by each separate bank	Coordinated enforcement by Security Trustee per majority vote

2.1 Strategic Decision Framework: When to Use Which Architecture?

- **When Consortium Funding is Preferred:** Ideal for large manufacturing, trading, and multi-locational corporates requiring continuous working capital facilities (Cash Credit, Overdraft, Inland LCs, Bank

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Guarantees) between INR 50 Cr and INR 1,000 Cr where coordinated stock monitoring and pari passu security sharing are essential.

- **When Multiple Banking (MBA) is Preferred:** Preferred by mid-sized businesses or diversified groups that value complete operational independence, want to maintain competitive pricing leverage across separate banks, and have unencumbered assets that can be segregated into distinct security charges.
- **When Loan Syndication is Preferred:** Best suited for massive capex, infrastructure project finance, cross-border acquisitions, or debt facilities exceeding INR 500 Cr to INR 5,000 Cr+ involving international banks, private credit funds, or diverse currency requirements.

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Chapter 3: Eligibility Criteria, Financial Thresholds & Regulatory Rules

Although the RBI made consortium formation voluntary in October 1996, commercial banks in India operate under standardized prudential guidelines and ground rules established by the Reserve Bank of India and the Indian Banks' Association (IBA) to ensure systemic stability.

3.1 Minimum Share Participation Thresholds

To prevent extreme fragmentation of the lender base and maintain rigorous credit monitoring, RBI guidelines specify a mandatory minimum allocation share for any bank participating in a formal consortium:

- **The 5% or INR 1 Crore Rule:** The share of any participating bank in a consortium must be a minimum of 5% of the total fund-based credit limit OR INR 1.00 Crore, whichever is higher.

Numerical Examples: *Practical Mathematical Illustration of the Threshold Rule:*

- **Example A (INR 3 Crore Facility):** 5% of INR 3.00 Cr = INR 0.15 Cr (INR 15 Lakhs). Since INR 1.00 Cr is higher than INR 0.15 Cr, the minimum required contribution for any member bank in this consortium is INR 1.00 Crore.
- **Example B (INR 50 Crore Facility):** 5% of INR 50.00 Cr = INR 2.50 Cr. Since INR 2.50 Cr is higher than INR 1.00 Cr, the minimum required share for any participating bank in this consortium is INR 2.50 Crores.
- **Example C (INR 200 Crore Facility):** 5% of INR 200.00 Cr = INR 10.00 Cr. Minimum individual commitment required is INR 10.00 Crores.

3.2 Lock-in Period & Consortium Exit Mechanics

Consortium Exit Discipline: Consortium stability is legally protected through mandatory lock-in periods and strict exit protocols defined in the Inter-Se Agreement:

- **Mandatory 2-Year Lock-In Period:** A member bank cannot be permitted to leave a consortium before the expiry of at least TWO YEARS (2 years) from the date of its entry into the consortium.
- **Post-Lock-In Exit Protocol:** An existing member bank may withdraw from the consortium after 2 years ONLY IF another existing member or a newly inducted bank agrees to take over its entire outstanding share in consultation with the borrower.
- **Discounted Exit & Deferred Undertaking:** If existing or new banks are unwilling to absorb the exiting member's share at par, the exiting bank may be permitted to leave by (a) selling its debt at a discount, or (b) furnishing an unconditional undertaking that repayment of its dues shall be deferred until the dues of all other consortium members are fully repaid.
- **Absolute Prohibition on Sick/Weak Units:** No bank is permitted to exit a consortium if the borrowing unit is classified as SICK or WEAK, as all participating lenders are mandatorily required to associate with corporate rehabilitation and restructuring efforts.

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3.3 Borrower Eligibility & Financial Soundness Metrics

To qualify for a consortium credit facility, corporate borrowers must satisfy rigorous creditworthiness benchmarks:

- **Credit Rating Benchmark:** Minimum investment-grade rating (typically BBB- or higher from SEBI-registered Credit Rating Agencies like CRISIL, CARE, ICRA, India Ratings).
- **Track Record & Financial Conduct:** Minimum 3-year track record of operational profitability and clean track record with existing bankers (no wilful default or SMA-2 classification).
- **Multi-Division & Group Unit Treatment:** Multi-division or multi-product corporate entities are treated as a SINGLE unit for consortium limits, unless separate published audited balance sheets exist for individual divisions.

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Chapter 4: Operational Mechanics & Role of the Lead Bank

The Lead Bank (Consortium Leader) acts as the executive engine and administrative pivot of the consortium arrangement. By industry convention, the bank holding the largest fund-based credit share automatically assumes the status of Consortium Leader.

4.1 Executive Responsibilities of the Lead Bank

The Lead Bank is contractually entrusted with extensive administrative, supervisory, and legal duties:

- **1. Joint Credit Appraisal:** Receipt of loan applications, project reports, CMA statements, and financial projections; conducting comprehensive joint credit appraisal on behalf of all member banks.
- **2. Convening Consortium Meetings:** Organizing quarterly consortium meetings, annual enhancement reviews, and issuing appraisal notes to members at least 10 days prior to scheduled meetings.
- **3. Legal Documentation & ROC Charge:** Finalizing model IBA documents, executing agreements on behalf of the consortium, and registering charges with the Registrar of Companies (ROC).
- **4. Custody of Security Documents:** Safe custody of primary security documents, title deeds, hypothecation deeds, and inter-se agreements on behalf of all participant lenders.
- **5. DP Calculation & Stock Verification:** Receiving monthly stock & book debt statements, conducting physical inventory verification, ensuring adequate insurance coverage, and computing Drawing Power (DP).
- **6. Cash Flow Control & Pro-Rata Distribution:** Ensuring that all cash credit sale proceeds are deposited into the principal Cash Credit account maintained with the Lead Bank, and distributing recoveries pro-rata to member banks.

4.2 Steering Committee Architecture & Decision Thresholds

- **The Steering Committee (>51% Share):** In large consortiums, a Steering Committee is formed comprising the Lead Bank and the bank holding the second-largest share. Together, the Steering Committee banks must command MORE THAN 51% of total fund-based credit limits.
- **Consensus vs. Majority Binding:** In cases where a unanimous consensus cannot be reached among all members, the decision of the Steering Committee or Consortium Majority is binding on all participant banks.
- **Lead Bank Ad-Hoc Discretion:** In emergent/contingency situations, the Lead Bank enjoys discretionary power to sanction additional/ad-hoc credit up to a pre-determined percentage (e.g., 10-15%), immediately informing member banks to absorb their pro-rata shares.

4.3 Lead Bank Service Charges & Remuneration Structure

To compensate the Lead Bank for administrative, appraisal, and monitoring overheads, the RBI permits the Lead Bank to levy a specialized service fee:

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- **Fee Ceiling (0.25% p.a.):** The Lead Bank is permitted to charge a fee up to 0.25% per annum of the total sanctioned fund-based working capital credit limits, negotiated with the borrower.
- **Enhancement Fee Calculation:** On limit enhancements, the service charge is levied strictly on the incremental/enhanced limit amount.
- **Exclusion of Syndication Fees:** No lead bank service fee is payable on pure debt syndications (which command separate management/arranger fees).

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Chapter 5: Security, Collateral & Unified IBA Documentation Suite

A cornerstone of the consortium framework is the standardized legal documentation suite finalized by the Indian Banks' Association (IBA). These model forms ensure legal uniformity, enforceable security charges, and complete clarity regarding inter-se lender priorities across India.

5.1 Standard IBA Model Documentation Suite

The standard IBA documentation suite comprises seven core legal instruments executed during consortium creation or limit enhancement:

- **1. Board Resolution:** Duly passed by the borrowing company's Board of Directors under Section 179/180 of the Companies Act 2013, authorizing borrowing limits, security creation, and designated signatories.
- **2. Working Capital Consortium Agreement (WCCA):** The master credit facility agreement executed between the borrower and consortium lenders detailing credit limits, interest rate structures, covenants, and repayment schedules.
- **3. Joint Deed of Hypothecation:** Primary security document executed by the borrower creating a joint Pari Passu (equal ranking) charge over all current assets (raw materials, semi-finished goods, finished inventory, and book debts/receivables).
- **4. Inter-Se Agreement (Inter-Creditor Agreement):** CRITICAL AGREEMENT executed strictly AMONG the consortium banks. Defines relative credit shares, pro-rata risk sharing ratios, voting thresholds, lead bank duties, and enforcement procedures.
- **5. Letter of Undertaking for Second Mortgage:** Executed by the borrower agreeing to create a second charge over its fixed assets (land, buildings, plant & machinery) as collateral security in favor of the working capital consortium.
- **6. Agreement with the Lead Bank:** Formal authorization executed by participant banks empowering the Lead Bank to sign documents, hold security, and manage operational transactions on their behalf.
- **7. Revival Letter:** Executed periodically (typically every 3 years) by the borrower to formally acknowledge outstanding debt liabilities and extend the statutory limitation period under the Limitation Act 1963.

5.2 Security Charge Mechanics: Pari Passu vs. Second Mortgage

- **Pari Passu Charge on Current Assets:** Primary security over current assets (inventory and receivables) is held on a PARI PASSU basis—meaning all consortium lenders rank equally in proportion to their sanctioned fund-based exposure.
- **First vs. Second Charge Alignment:** Consortium working capital lenders typically hold a SECOND CHARGE on fixed assets, while term loan lenders (who financed capital expenditure) hold the FIRST CHARGE on fixed assets and a SECOND CHARGE on current assets.

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Chapter 6: Tenure, Pricing Structures, Benchmark Offsets & Fees

Consortium facilities encompass both short-term operational working capital and medium-to-long-term corporate term loans, each operating under specific pricing and tenure frameworks.

6.1 Facility Types & Indicative Tenures

- **Working Capital Cash Credit (CC) / Overdraft (OD):** Revolving 12-month facility, subject to mandatory annual review and renewal. Used for day-to-day operational liquidity against stock and book debts.
- **Working Capital Term Loan (WCTL):** Short-term working capital facility structured with specific bullet or installment maturities ranging from 90 days to 360 days.
- **Letters of Credit (LC) & Bank Guarantees (BG):** Non-fund-based revolving limits issued for 30 days to 180 days usance for raw material procurement.
- **Corporate Term Loans / Capex Facilities:** Door-to-bullet or amortizing term loans spanning 3 years to 7 years (extendable to 10-15 years for infrastructure under specialized board approval).

6.2 Interest Rate Flexibility & Benchmark Offsets

Historically, interest rates were uniform across all consortium members. Following RBI interest rate deregulation, individual banks in a consortium are fully empowered to determine their own lending rates based on their internal cost of funds and benchmark offsets:

- **MCLR-Linked Corporate Pricing:** Large corporate term loans and consortium facilities are priced off each lender's Marginal Cost of Funds Based Lending Rate (MCLR) plus a credit risk spread based on borrower rating.
- **Repo / EBLR Applicability:** External Benchmark Lending Rate (EBLR / Repo Rate) is mandatory for MSE/MSME and retail loans, but optional for large corporate wholesale facilities.
- **Uniform Risk Spread Agreement:** While interest rate baselines vary per bank's MCLR, the consortium agrees on a uniform credit risk spread over benchmark to maintain pricing harmony.
- **Commitment Charges:** Levy of commitment charges on unutilized credit lines is non-mandatory and left to bank discretion to enforce credit discipline.

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Chapter 7: Sectoral Applicability & M&A Acquisition Finance Integration

Consortium funding is heavily deployed across capital-intensive, high-turnover sectors of the Indian economy where credit requirements exceed single-bank balance sheet capacities.

7.1 Key Industry Profiles & Suitability

- **Heavy Manufacturing & Capital Goods:** Steel, Auto Components, Heavy Engineering, Textile Manufacturing, and Chemicals requiring massive raw material inventory holding.
- **Sugar Mills & Agro-Processing:** Seasonal processing requiring huge upfront liquidity spikes during crushing season against pledged sugar stock.
- **Infrastructure & EPC Contracting:** Roads, Power Transmission, Ports, Telecom, and EPC Contractors requiring large performance and financial Bank Guarantees.

7.2 Integration with 2025/2026 RBI Acquisition Finance Framework

Historically, domestic commercial banks in India were strictly prohibited from financing corporate share acquisitions or M&A transactions. Under recent RBI regulatory liberalizations (2025/2026), banks are now permitted to fund strategic corporate acquisitions under strict consortium safeguards:

- **75% Bank Funding Cap:** Banks can finance up to 75% of the independently appraised acquisition value. The acquirer must contribute a minimum of 25% from owned internal accruals or equity.
- **Maximum Leverage Ratio (3:1):** Acquiring entity must maintain a maximum consolidated Debt-to-Equity ratio of 3:1 on an ongoing basis.
- **Section 19(2) Statutory Pledge Ceiling & Consortium Necessity:** Section 19(2) of the Banking Regulation Act 1949 prohibits a bank from holding pledged shares in a company exceeding 30% of that company's paid-up share capital or 30% of the bank's own capital. Large M&A share pledges MUST therefore be syndicated across a consortium of banks to avoid individual 30% statutory ceiling breaches.

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Chapter 8: Detailed Case Study — INR 200 Crore Working Capital Consortium

To provide a complete practical understanding for finance rookies, this chapter presents a comprehensive real-world case study of a consortium funding arrangement in India, complete with credit limit allocation, Drawing Power (DP) computation, fee distribution, and default resolution mechanics.

8.1 Corporate & Transaction Profile

- **Borrower Entity:** Apex Heavy Engineering Industries Ltd. (AHEIL) — Listed Indian Manufacturing Company.
- **Total Credit Limit Sanctioned:** INR 200.00 Crore (Fund-Based Cash Credit Facility).
- **Credit Rating:** CARE BBB+ (Stable Investment Grade Rating).
- **Lead Bank:** State Bank of India (SBI).

Member Allocation Matrix: Table 8.1: Consortium Share Allocation & Lead Fee Breakdown (INR Crores)

Bank Name	Status	Share (%)	Sanctioned Limit (INR Cr)	Lead Fee Share (INR Lakhs)
State Bank of India (SBI)	Lead Bank	40.00%	INR 80.00 Cr	INR 50.00 Lakhs (100%)
HDFC Bank	Member	25.00%	INR 50.00 Cr	Nil (Paid to Lead)
Punjab National Bank (PNB)	Member	20.00%	INR 40.00 Cr	Nil (Paid to Lead)
Bank of Baroda (BOB)	Member	15.00%	INR 30.00 Cr	Nil (Paid to Lead)
TOTAL CONSORTIUM	**4 Banks**	**100.00%**	**INR 200.00 Cr**	**INR 50.00 Lakhs**

Fee Computation Note: *Lead Bank Fee Calculation: Lead Fee = 0.25% of INR 200.00 Cr = INR 0.50 Cr = INR 50.00 Lakhs per annum paid by AHEIL to State Bank of India.*

8.2 Step-by-Step Drawing Power (DP) Computation

Drawing Power (DP) represents the maximum operational borrowing ceiling available to the borrower in a given month based on verified paid stock and eligible book debts after applying mandated bank margins:

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Monthly DP Schedule: Table 8.2: Monthly Stock Statement & Drawing Power Computation for AHEIL (INR Crores)

Asset Classification	Gross Value (INR Cr)	Stipulated Margin (%)	Bank Margin Deducted (INR Cr)	Eligible Drawing Power (INR Cr)
Raw Materials & Components	INR 120.00 Cr	25.00%	INR 30.00 Cr	INR 90.00 Cr
Semi-Finished / WIP Inventory	INR 40.00 Cr	30.00%	INR 12.00 Cr	INR 28.00 Cr
Finished Goods Stock	INR 60.00 Cr	25.00%	INR 15.00 Cr	INR 45.00 Cr
TOTAL GROSS INVENTORY	**INR 220.00 Cr**	-	**INR 57.00 Cr**	**INR 163.00 Cr**
Less: Sundry Creditors (Unpaid Stock)	(INR 40.00 Cr)	0.00%	INR 0.00 Cr	(INR 40.00 Cr)
NET PAID INVENTORY DP	**INR 180.00 Cr**	-	-	**INR 123.00 Cr**
Eligible Book Debts (< 90 Days)	INR 80.00 Cr	40.00%	INR 20.00 Cr	INR 60.00 Cr

Final Drawing Power Determination: *TOTAL COMPUTED DRAWING POWER = Net Paid Stock DP (INR 123.00 Cr) + Book Debt DP (INR 60.00 Cr) = INR 183.00 Crores.*
Conclusion: Since Total Sanctioned Limit is INR 200.00 Cr but Computed DP is INR 183.00 Cr, AHEIL's maximum permissible withdrawal across all member banks for this month is strictly capped at INR 183.00 Crores.

8.3 Default & IBC Resolution Scenario

- **NPA Classification & Section 7 Filing:** If AHEIL defaults on interest servicing for over 90 days, member banks classify the account as NPA. SBI (Lead Bank) or any individual consortium member holding over 10% debt can file a Section 7 insolvency petition before the NCLT.
- **CoC Voting Share & Resolution Plan Approval:** Consortium lenders form the Committee of Creditors (CoC). Voting share in the CoC is exactly proportionate to each bank's admitted financial claim: SBI (40%), HDFC Bank (25%), PNB (20%), BOB (15%). Under IBC Section 30(4), approval of a Resolution Plan requires a 66% majority vote (SBI + HDFC Bank + PNB = 85% > 66%).

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Chapter 9: Key Advantages, Limitations & Structural Risks

Consortium Advances present distinct operational trade-offs for both borrowers and financing banks:

9.1 Key Advantages

- **For Corporate Borrowers:** Access to massive capital pools; single-window convenience via Lead Bank; uniform documentation; competitive interest rate spreads.
- **For Commercial Banks:** Spreads credit default risk; compliance with single/group exposure ceilings; joint stock monitoring; shared intelligence prevents double financing.

9.2 Limitations & Structural Risks

- **For Corporate Borrowers:** Slower decision making due to multi-bank consensus requirements; rigid restrictive covenants; potential operational delays during limit enhancements.
- **For Commercial Banks:** 2-year lock-in restricts quick exit; coordination friction during debt restructuring; risk of dissenting minority banks delaying recovery.

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Chapter 10: Rookie Mastery Examination & High-Yield Practice Q&A

This self-assessment section contains 15 high-yield test questions designed to evaluate understanding and reinforce key concepts covered throughout this white paper manual.

Q1: What is Consortium Funding?

Answer: Consortium Funding is a wholesale credit arrangement where two or more commercial banks jointly extend loan facilities to a single corporate borrower under a single unified legal agreement and common security charge.

Q2: Which committee mandated consortium formation for limits of INR 50 Cr and above in 1993?

Answer: The J.V. Setty Committee (headed by Canara Bank CMD Shri J.V. Setty in January 1993).

Q3: When did the RBI make consortium formation voluntary?

Answer: In October 1996, as part of credit delivery deregulation.

Q4: What is the minimum share threshold for a bank joining a consortium?

Answer: Minimum 5% of the total fund-based credit limit OR INR 1.00 Crore, whichever is higher.

Q5: In an INR 100 Crore consortium facility, what is the minimum required share for a member bank?

Answer: 5% of INR 100 Crore = INR 5.00 Crores (since INR 5 Cr > INR 1 Cr).

Q6: What is the mandatory lock-in period before a member bank can exit a consortium?

Answer: At least TWO YEARS (2 years) from the date of joining.

Q7: Can a member bank exit a consortium if the borrower unit is classified as SICK or WEAK?

Answer: No. Exit is strictly prohibited for sick/weak units because all lenders must participate in corporate rehabilitation.

Q8: Who becomes the Lead Bank in a consortium arrangement?

Answer: The commercial bank holding the largest share in the fund-based credit facilities.

Q9: What is the maximum service charge a Lead Bank can levy for managing a consortium?

Answer: Up to 0.25% per annum of the sanctioned fund-based working capital credit limits.

Q10: What are the primary IBA model documents executed in a consortium?

Answer: Working Capital Consortium Agreement (WCCA), Joint Deed of Hypothecation, and the Inter-Se Agreement.

Q11: What type of security charge is created on current assets in a consortium?

Answer: A Pari Passu (equal-ranking) charge shared among all member banks in proportion to their credit exposure.

Q12: How does Drawing Power (DP) limit borrowing under a sanctioned Cash Credit facility?

Answer: DP is the monthly operational ceiling computed based on net paid inventory and eligible book debts after deducting bank margins. Borrowing cannot exceed DP even if the sanctioned limit is higher.

Q13: What is the key difference between Consortium Funding and Multiple Banking (MBA)?

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Answer: A Consortium features a single common loan agreement, Lead Bank, and shared pari passu security charge. Multiple Banking involves separate, independent bilateral agreements and separate security charges with no formal lead bank.

Q14: Under Section 19(2) of the Banking Regulation Act 1949, why is consortium funding required for large M&A acquisition financing?

Answer: Section 19(2) caps a bank's share pledge holding at 30% of the target company's share capital. Large share pledges must be distributed across a consortium to avoid breaching this statutory 30% ceiling.

Q15: How is voting share determined in a Committee of Creditors (CoC) under the Insolvency and Bankruptcy Code (IBC) 2016 for a consortium?

Answer: CoC voting share is strictly proportionate to each financial creditor's admitted claim amount against the corporate debtor.

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